

Summary

The profitability ratios are arguably the most important of all ratios for an investor as they indicate whether an enterprise is viable, and better or worse than other similar ones. These ratios however should not be seen in isolation. One should remember that a lower ratio is not necessarily bad. In order to increase sales and profits companies may sell goods at lower prices in volume driven businesses. Like all ratios, these ratios are indicators and they should be considered as such.

Liquidity

Liquidity is one of the cornerstones of any investment. It is important that investments be liquid so that they can be converted to cash easily to meet obligations. Similarly, it is important for a company to be liquid in order for it to meet its maturing financial obligations and to have enough funds to meet its operational requirements. If a company is unable to do so, it may be forced to sell its more important assets at a loss and, in extreme cases, be forced into liquidation. After the securities scam in 1992, many mutual funds were forced to sell their blue chip shares to generate liquidity as they were not able to sell their large holdings of securities of public sector undertakings (PSUs). In the first quarter of 2000 when the values of Information Technology shares plummeted there was fear that prices would fall further as mutual funds sold shares to meet redemptions of their units. When the UTI went through its troubles, Mr. Damodaran after taking charge orchestrated a sale of the more marketable securities to book profits and to be liquid to meet redemption demands.